

likely in either direction, where in reality, idiosyncratic fundamental factors can make a move in one direction much more likely. For example, in this particular instance, the event-related potential for a sharp selloff in the euro made the possibility that the inverse correlation between the Australian dollar and Swiss franc would diminish, or even reverse, much greater than the possibility that the correlation would become more negative. The market always assumes symmetry, and you look for potential asymmetry.

Exactly. Our trades range widely in probability of payoff, but they all share the characteristic of being priced cheaply relative to the perceived probability and magnitude of a win. We have a trade on now that I really like.

I don't know if you read Jeremy Grantham of GMO. He is a widely respected value investor who looks across all asset classes and writes commentaries and editorials about what he is seeing. For some time now, he has been arguing that high-quality, consumer oriented franchises, particularly those that have great international brands, are cheap relative to the rest of the S&P based on both dividend yield and enterprise value to cash flow. In my view, he has laid out a fairly compelling argument that places relative valuations in the context of a cycle, wherein the low-quality names tend to outperform early in the cycle, and the high-quality names tend to outperform toward the end of the cycle. There is an index called the XLP, which is an index of U.S. consumer staple companies such as Procter & Gamble, Coca-Cola, and Johnson & Johnson. If Grantham is right, at some point we should see a revaluation of the stocks in this index.

I assume that in the current cycle since the 2009 low, the XLP has gone up less than the S&P?

It has gone up a lot less. Initially, we considered buying options on the XLP, which were relatively inexpensive. But Ben came up with a much better way to structure the same trade idea based on the XLP's low beta of 0.5 versus the S&P500.

Beta is the expected change of a security relative to the change in the benchmark (e.g., S&P 500) for a small change in price. A beta of 0.5